THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

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CLASS 9 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 1

Chapter 13: **Managing Your Personal Finances (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. A family insures its cattle. This is 1

(a) life insurance **(b)** health insurance
(c) tax **(d)** general insurance

2. A government wants to help low-income families with healthcare costs. Suitable scheme 1

(a) Ayushman Bharat PM-JAY **(b)** SENSEX
(c) PPF **(d)** NSC

3. Taxable income of Rs 20 lakh in new regime (no rebate) leads to tax 1

(a) Rs 1,80,000 **(b)** Rs 1,50,000 **(c)** Rs 2,50,000 **(d)** Rs 2,00,000

4. A person invests Rs 1,000 yearly from 25 to 65 at 7% and another from 35. The earlier investor ends with more mainly because 1

(a) lower risk **(b)** no inflation
(c) higher tax **(d)** longer compounding

5. A person takes an EMI at 12% for a phone worth Rs 24,000 for 12 months with Rs 2,400 EMI. Extra paid is 1

(a) Rs 4,800 **(b)** Rs 24,000 **(c)** Rs 28,800 **(d)** Rs 2,400

6. Assertion (A): FDs are liquid and risk-free in every case. Reason (R): They give fixed returns. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

7. Assertion (A): Standard deduction increases taxable income. Reason (R): It is subtracted from salary before tax. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

8. Assertion (A): A high-risk investment always gives high return. Reason (R): Risk and return are linked. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

9. **Assertion (A):** Compounding benefits the person who starts investing early. 1
Reason (R): Returns earn further returns over a longer period.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

10. **Assertion (A):** Insurance works on the principle of risk sharing. 1
Reason (R): A premium is the amount paid for insurance.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. How can a budget prevent debt? 2

12. Why do insurers pool premiums? 2

13. Why should students learn personal finance early? 2

14. Why is trust important for chettiars' lending model? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Explain how an index like SENSEX helps investors. 3

16. Explain how women's financial independence affects families. 3

17. Explain three ways to protect savings from fraud. 3

OR

Explain how early planning helps in retirement. 3

18. A family has no insurance and a hospital bill of Rs 3 lakh. Discuss. 3

OR

Evaluate whether FD always beats inflation. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. **Case study.** Meena earns Rs 40,000 a month and spends Rs 32,000 on food, rent, school fees and other needs. She keeps a monthly budget. She wants to buy a Rs 24,000 laptop in 6 months by saving equal amounts each month. 5
(i) How much does she save in a month?
(ii) What percentage of her income is this?
(iii) How much must she save each month for the laptop?
(iv) What is a budget, and how does it help her?

20. Explain the effect of inflation on savings and how to respond. 5

OR

Discuss ways households can avoid financial traps and fraud. 5

END OF QUESTION PAPER — Total: 40 Marks